VANGUARD 2025 ANNUAL REPORT SUMMARY

For the Fiscal Year Ended December 31, 2025

A Letter to Shareholders

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LETTER FROM THE CHAIRMAN AND CEO

Dear Fellow Shareholders,

It is my privilege to present The Vanguard Group's annual report summary for fiscal year 2025. This document highlight

Total assets under management as of December 31, 2025 were $9.42 trillion, an increase from $8.16 trillion at the pri

We continue to operate on an at-cost basis. The asset-weighted average expense ratio across all Vanguard funds declin

I want to thank our 22,400 employees worldwide for their dedication during a year of significant operational change, a

Sincerely,

Salim H. Aboud
Chairman and Chief Executive Officer
The Vanguard Group, Inc.
March 1, 2026

2025 IN REVIEW: KEY FIGURES

Total Assets Under Management:	$9.42 trillion (up 15.4% YoY)
Net New Cash Flow:	$367 billion
Active Investor Households:	approx. 30.4 million
Active Institutional Plan Sponsors:	1,847
Average Asset-Weighted ER:	0.08% (down from 0.09%)

MARKET ENVIRONMENT

The 2025 calendar year was characterized by:

- A continuation of the technology-led equity rally that began in late 2022
- The S&P 500 Index returned 14.03%, a moderation from 2024's exceptional returns
- The Bloomberg US Aggregate Bond Index returned 4.96% as the Federal Reserve continued its modest easing cycle
- International developed equities (FTSE Developed ex-US) returned 11.42%
- Emerging market equities returned 8.74% amid mixed economic signals from Asia

Volatility remained moderate. The CBOE VIX Index averaged 15.2 over the year, near long-term historical norms.

VANGUARD FLAGSHIP FUND PERFORMANCE

Total Stock Market Index Fund (VG-PR-001) - Investor Shares:

Return: +14.18%

  Benchmark: CRSP US Total Market Index +14.32%
  Tracking Difference: -0.14% (consistent with expense ratio)

500 Index Fund (VG-PR-002) - Investor Shares:
  Return: +13.89%
  Benchmark: S&P 500 Index +14.03%
  Tracking Difference: -0.14%

Total Bond Market Index Fund (VG-PR-003) - Investor Shares:
  Return: +4.83%
  Benchmark: Bloomberg US Aggregate FA +4.96%
  Tracking Difference: -0.13%

Target Retirement 2050 Fund (VG-PR-004) - Investor Shares:
  Return: +12.32%
  Composite Benchmark: +12.41%
  Tracking Difference: -0.09%

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PRODUCT AND POLICY DEVELOPMENTS
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EXPENSE RATIO REDUCTIONS
During fiscal 2025, Vanguard reduced expense ratios on 87 funds, including:
- Total International Stock Index Fund: Investor 0.17% to 0.16%, Admiral 0.10% to 0.09%
- Long-Term Treasury Fund: Investor 0.20% to 0.18%
- High Dividend Yield ETF (VG-PR-006): 0.06% (no change; already at floor)

NEW PRODUCT LAUNCHES
- Vanguard Ultra-Short Bond ETF (USBE): Launched May 1, 2025 to provide enhanced cash management options
- Vanguard ESG Total Bond Market Index Fund: Launched September 15, 2025

POLICY UPDATES
- Updated Required Minimum Distribution procedures to align with SECURE 2.0 guidance (see VG-OP-003)
- Enhanced fraud detection on wire transfers, including expanded callback requirements (see VG-OP-005, VG-OP-011)
- Improved e-delivery experience; e-delivery enrollment now exceeds 78% of accounts (see VG-OP-017)

DIGITAL EXPERIENCE
- Mobile app users grew to 18.4 million (up from 14.7M at year-end 2024)
- 91% of trades now executed via digital channels (web or mobile)
- Average call wait time during peak hours was reduced from 12 minutes to 4.8 minutes through expanded hours and impr

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SHAREHOLDER ADVOCACY AND PROXY VOTING
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In 2025, Vanguard funds voted at 14,832 shareholder meetings worldwide. Vanguard's voting policy emphasizes long-term

Notable voting outcomes:
- Voted "for" 92% of director elections
- Voted "for" 76% of say-on-pay proposals
- Voted "for" 41% of shareholder proposals (varies widely by category)

Detailed voting records are published quarterly at investor.vanguard.com.

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PERSONAL ADVISOR SERVICES UPDATE
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Vanguard Personal Advisor Services (see VG-OP-008) ended fiscal 2025 with $462 billion in advised assets, an increase

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LOOKING AHEAD TO 2026
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Vanguard's priorities for the coming year include:

1. Continued cost reductions across the fund lineup
2. Expansion of fixed-income ETF offerings, including direct-indexing capabilities
3. Enhanced digital experience for retirement plan participants
4. Investment in AI-assisted client service capabilities
5. Modernization of legacy account-servicing systems

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FORWARD-LOOKING STATEMENTS DISCLAIMER
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This summary contains forward-looking statements that involve risks and uncertainties. Actual results may differ mater

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FOR MORE INFORMATION
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For full audited financial statements, see the complete 2025 Annual Report available at investor.vanguard.com/annual-

Related Documents:
- VG-PR-001 - Total Stock Market Index Fund Prospectus
- VG-PR-002 - 500 Index Fund Prospectus
- VG-PR-003 - Total Bond Market Index Fund Prospectus
- VG-PR-004 - Target Retirement 2050 Fund Prospectus
- VG-PR-006 - High Dividend Yield ETF Fact Sheet
- VG-ED-004 - Vanguard Fund Family Overview Brochure